Illustration 5

Sriram and Raj are partners sharing profits and losses in the ratio of 2:1. Nelson joins as a partner on 1st April 2017. The following adjustments are to be made:

(i) Increase the value of stock by ₹ 5,000

(ii) Bring into record investment of ₹ 7,000 which had not been recorded in the books of the firm.

(iii) Reduce the value of office equipment by ₹ 10,000

(iv) A provision would also be made for outstanding wages for ₹ 9,500.

Give journal entries and prepare revaluation account.

Solution

Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
2017	Stock A/c	Dr.		5,000	
April 1	Investment A/c	Dr.		7,000	
	To Revaluation A/c				12,000
	(Increase in the value of stock and unrecorded investment accounted)				
,,	Revaluation A/c	Dr.		19,500	
	To Office equipment A/c				10,000
	To Outstanding wages A/c				9,500
	(Reduction in the value of office equipment and provision of outstanding wages recorded)				
,,	Sriram's capital A/c	Dr.		5,000	
	Raj's capital A/c	Dr.		2,500	
	To Revaluation A/c				7,500
	(Loss on revaluation transferred)				

Dr. **Revaluation Account** **Cr.**

Particulars	₹	Particulars	₹	₹
To Office equipment A/c	10,000	By Stock A/c		5,000
To Outstanding wages A/c	9,500	By Investment A/c		7,000
		By Loss on revaluation transferred to		
		Sriram's capital A/c (2/3)	5,000	
		Raj's capital A/c (1/3)	2,500	**7,500**
	19,500			19,500

12th-Accountancy-Unit-05.indd 144 1/4/2020 12:00:37 PM